crisis. Now, they are facing a kind of ILFS replay in the wake of COVID-19.

NBFCs are also dependent upon constant reflows from their existing portfolio of loan assets. If reflows get affected, their ability to service their resource providers and provide fresh loans suffers. The moratorium granted by RBI on the servicing of loans given by NBFCs created a lot of problems, particularly owing to the lack of clarity on the applicability of moratorium on loans that NBFCs have to service.

NBFCs faced a double whammy during the pandemic year. Their loans to businesses turned bad in greater proportion. They had to give a moratorium to all businesses and were not able to enforce their security or approach the IBC courts. On the other hand, they had to service their loans to banks, pay regularly on debentures issued and saw their funding from MFs getting diminished.